CAPITAL ECONOMICS

INDEPENDENT ANALYSIS, FORECASTS
AND CONSULTANCY

Global Economics Chart Pack – Iran Conflict Edition

Global Economics Team

2nd April 2026

Iran Conflict Chart Pack

Our View: The impact of the surge in energy prices on the global economy will depend on the extent of any disruption to energy flows, which remains highly uncertain. Europe and Asia are more exposed than the US. As things stand, the baseline scenario is one in which hostilities cease by end of April and the surge in energy prices mostly unwinds by year-end. Global GDP growth would slow, but most economies would avoid recession. In an adverse scenario, where the fighting lasts much longer and more significantly dents global energy supplies, sustained higher oil prices would push the global economy into stagflation. We think that interest rate cuts this year are now off the table. But only in the adverse scenario would we see broad-based rate hikes across the major central banks.

- **Commodities**: The effective closure of the Strait of Hormuz has sent oil and natural gas prices soaring. In an adverse scenario, the price of Brent oil could remain above $100pb this year.
- **Activity**: In our baseline scenario, global GDP growth slows from 3% to 2.5%. In an adverse scenario, global growth would slow sharply and meet most definitions of “global recession”.
- **Inflation**: Within advanced economies, inflation will rise further in Europe than in the US. In an adverse scenario, inflation could peak around 6-7% in the UK and euro-zone.
- **Policy**: In our baseline scenario, we think that the ECB would join the BoJ and RBA in hiking interest rates. But only in an adverse scenario would we expect the Fed and BoE to hike rates.
- **For our analysis on the Iran conflict, see our Key Issues Page.**

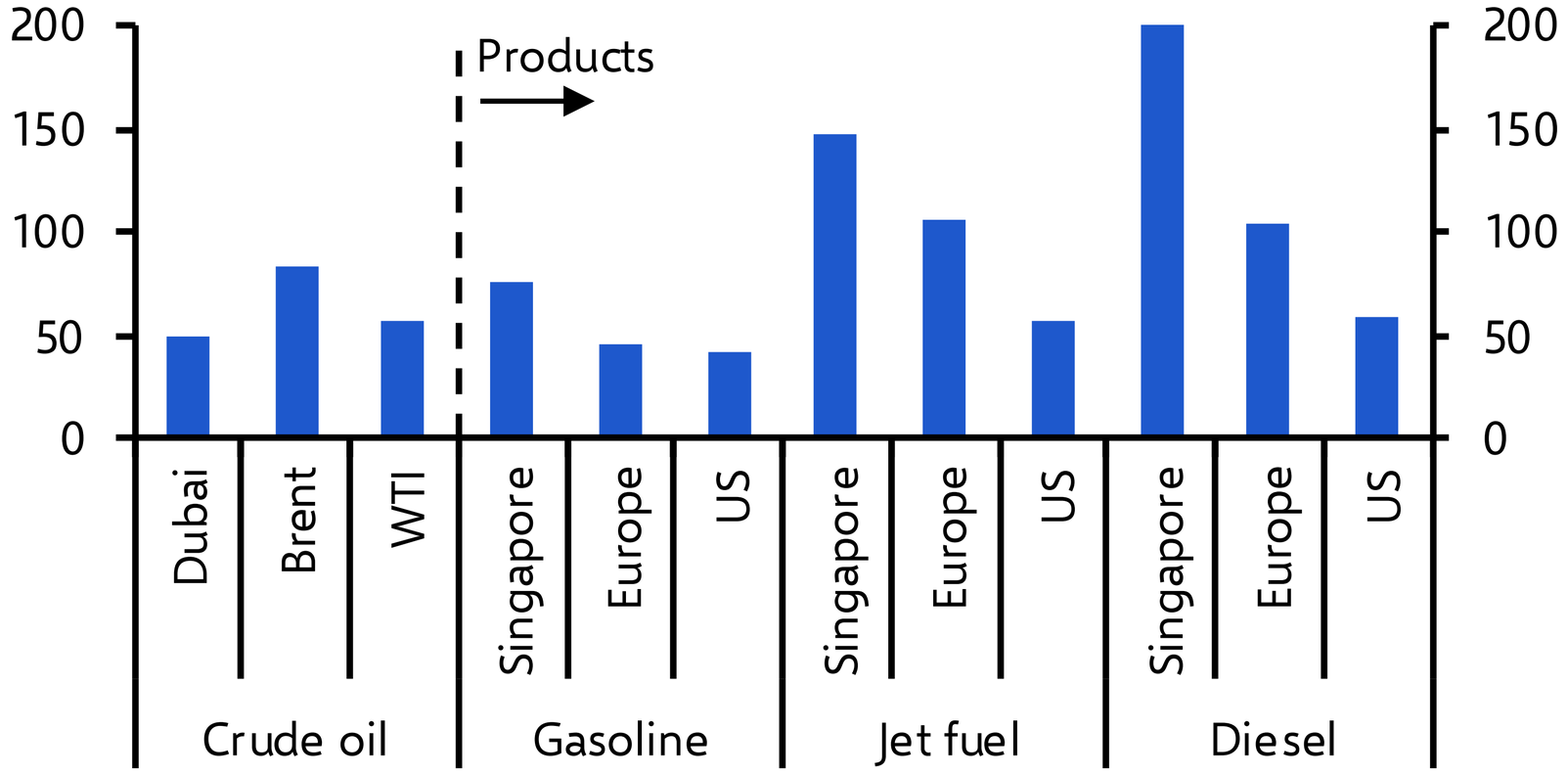
Energy prices have risen sharply since the Iran strikes began. The price of Brent crude briefly surpassed $110pb for the first time since 2022 before falling back to ~$100pb.

Price of Brent Crude ($ per Barrel, Latest = 2nd April)

Sources: LSEG, Capital Economics

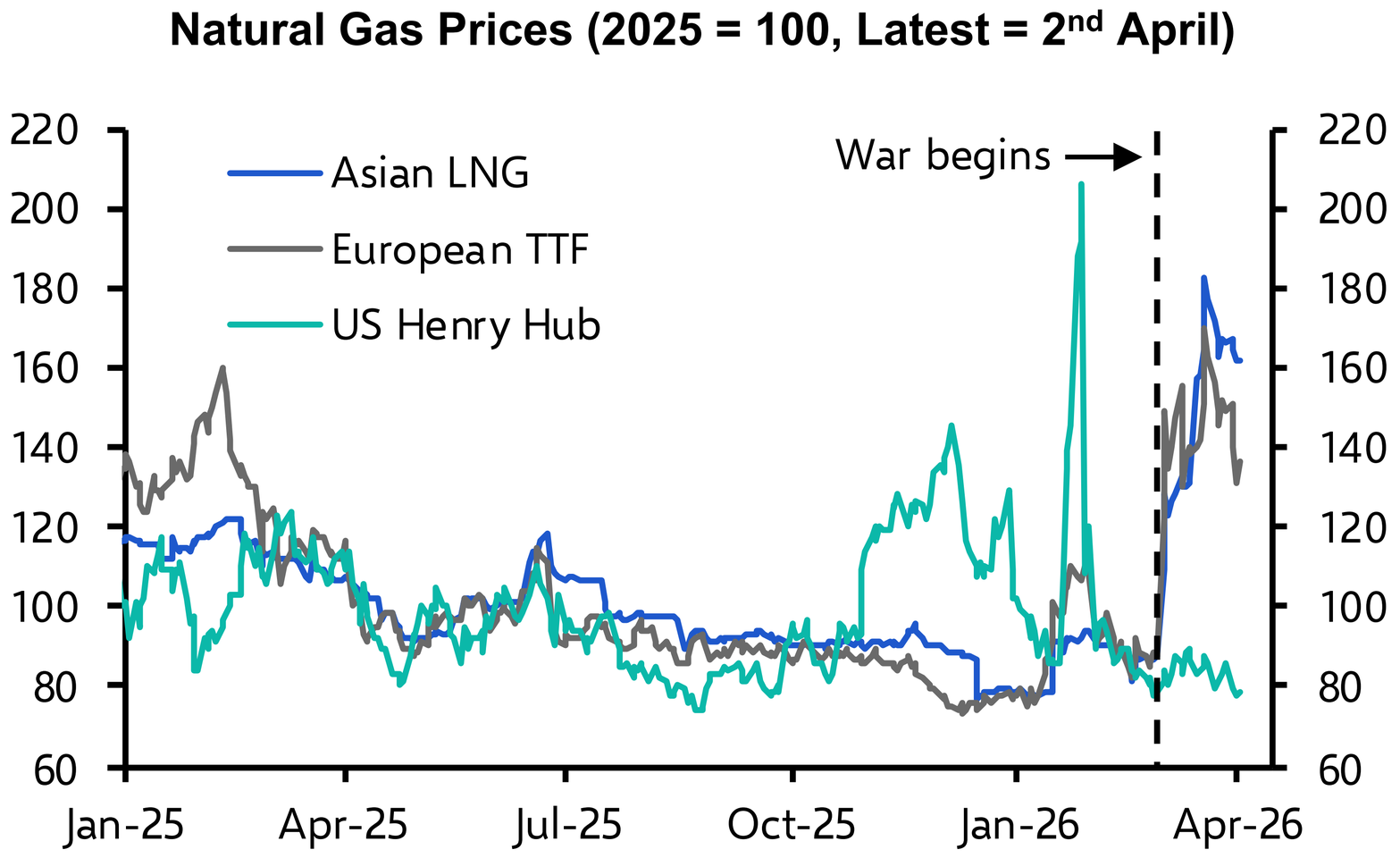
Prices of oil products have risen more than the Brent and WTI benchmarks. The biggest increases have been in Asia, while the smallest have been in the US.

% Change in Fuel Prices Since War Began (Latest = 2nd April)*



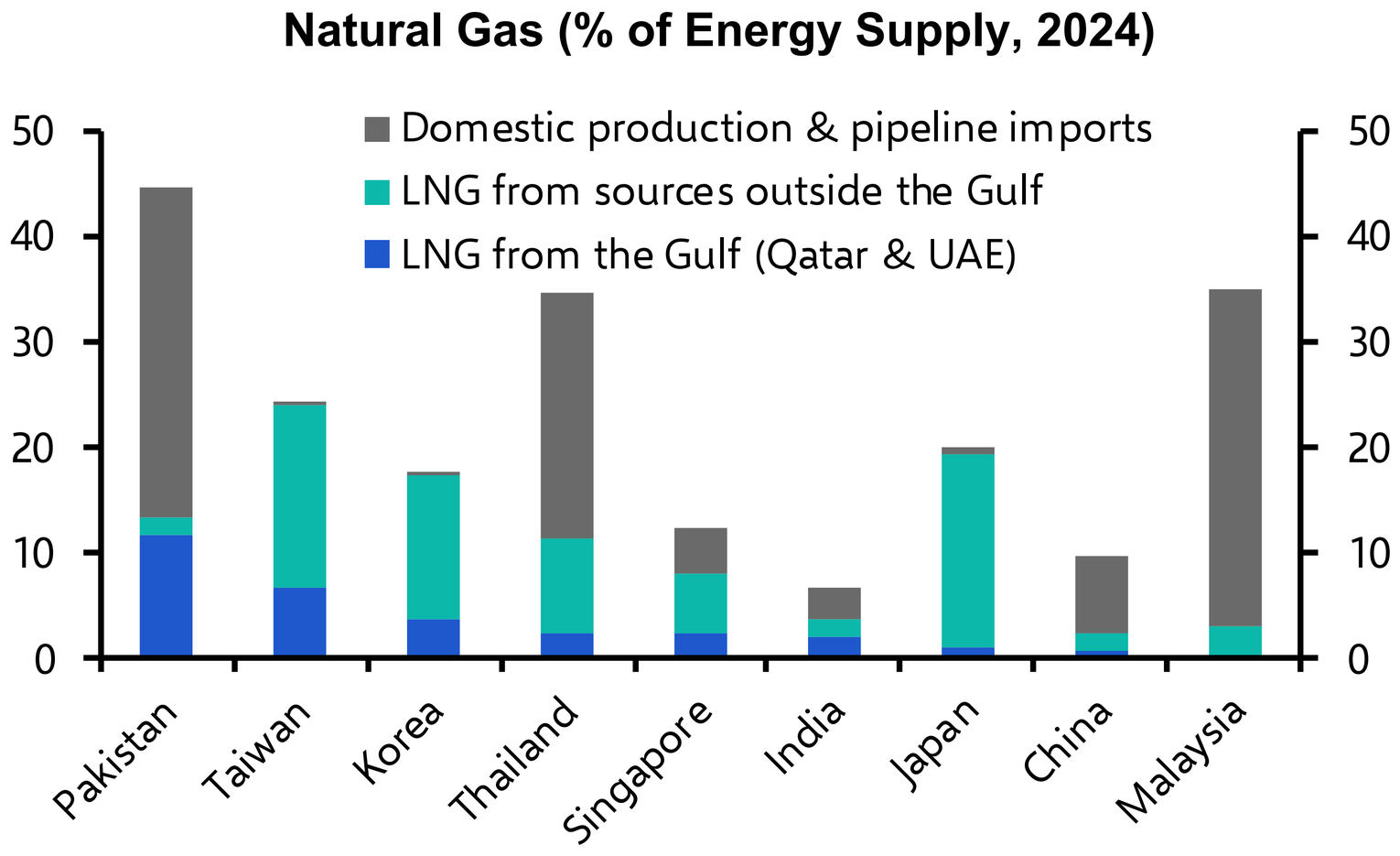
Sources: LSEG, Capital Economics *US = Gulf Coast. Europe = Amsterdam, Rotterdam, Antwerp region.

Natural gas prices have surged in Europe and Asia, while the US remains largely unaffected.



Sources: LSEG, EIA, Capital Economics

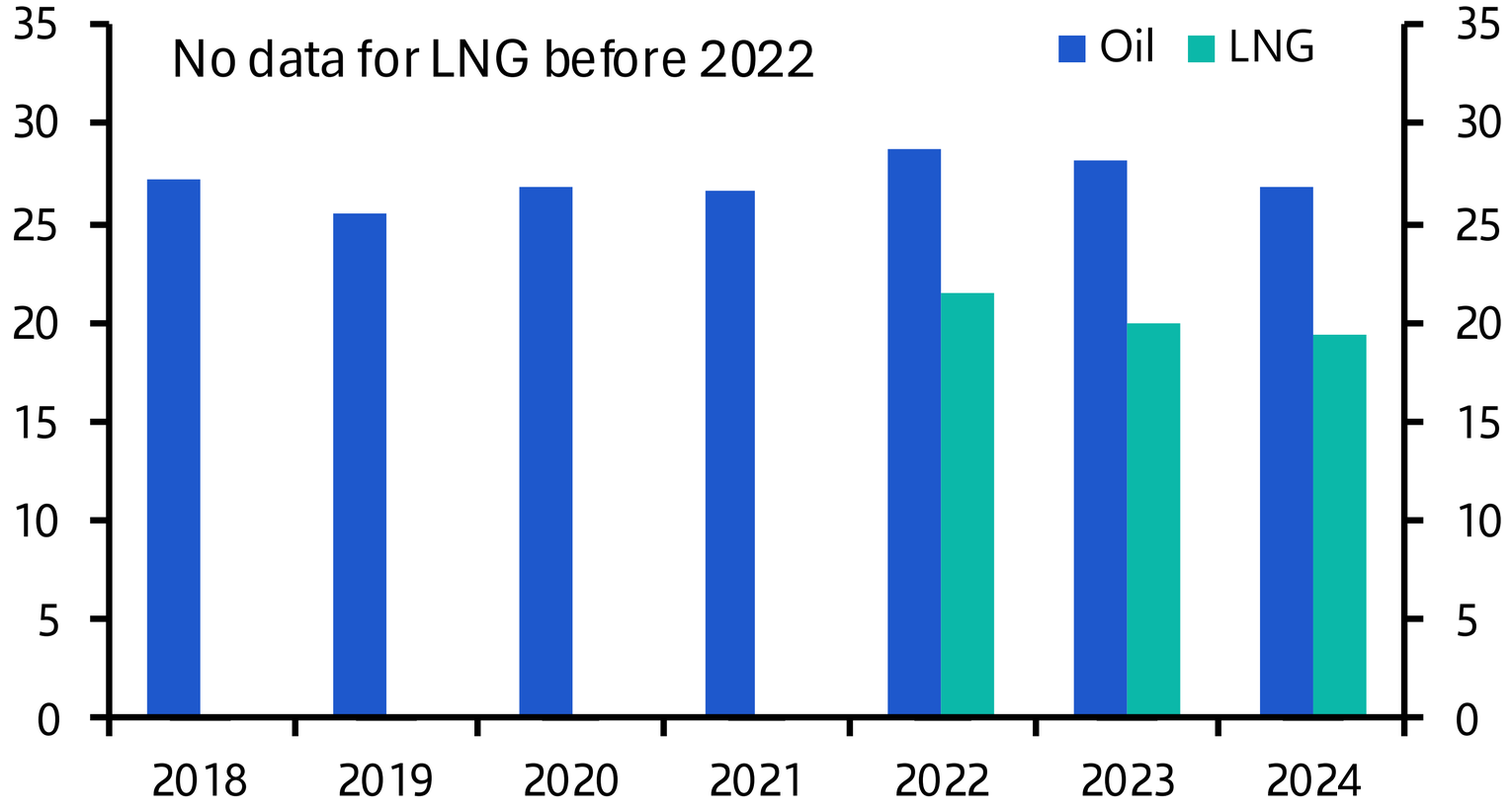
Asian economies are particularly reliant on natural gas supplies from the Middle East, especially Pakistan, Taiwan and Korea.



Sources: Energy Institute, Capital Economics

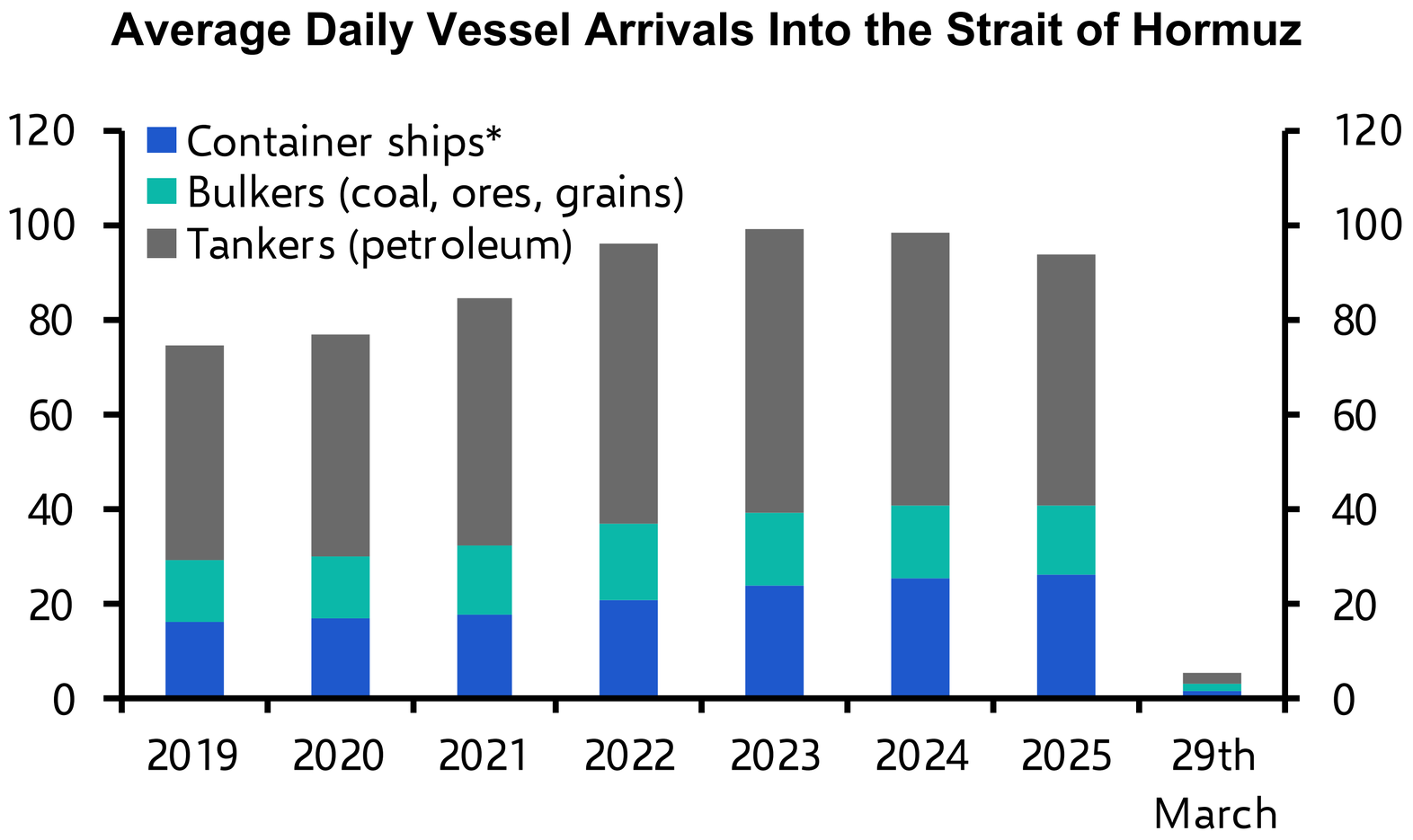
Higher energy prices reflect the effective closure of the Strait of Hormuz, which accounts for 25% and 20% of global seaborne oil and LNG shipments, respectively.

Trade via the Strait of Hormuz (% of Global Maritime Trade)



Sources: LSEG, EIA, Capital Economics

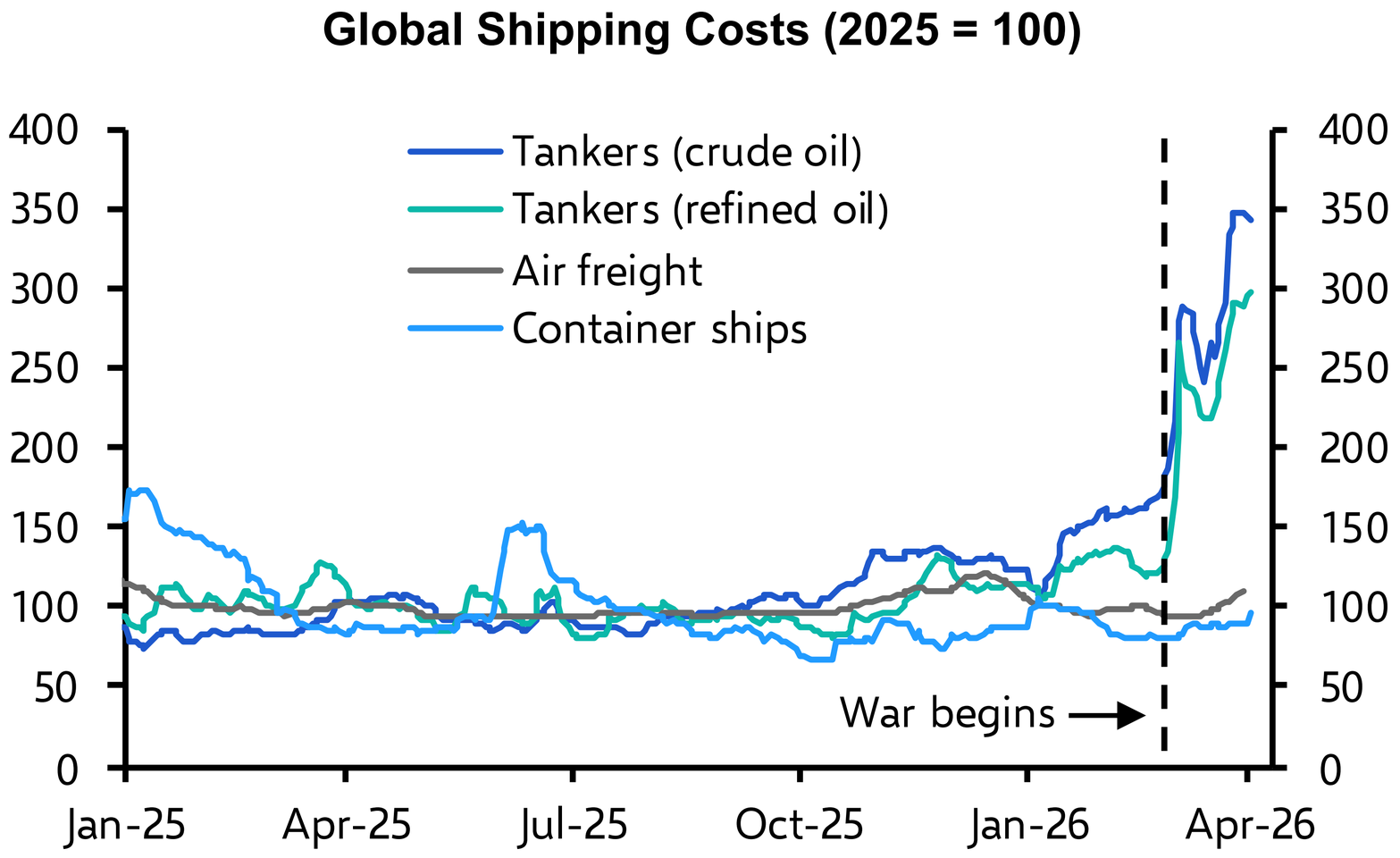
Shipping traffic through the Strait has almost ground to a halt since the conflict began.



Sources: IMF Portwatch, Capital Economics

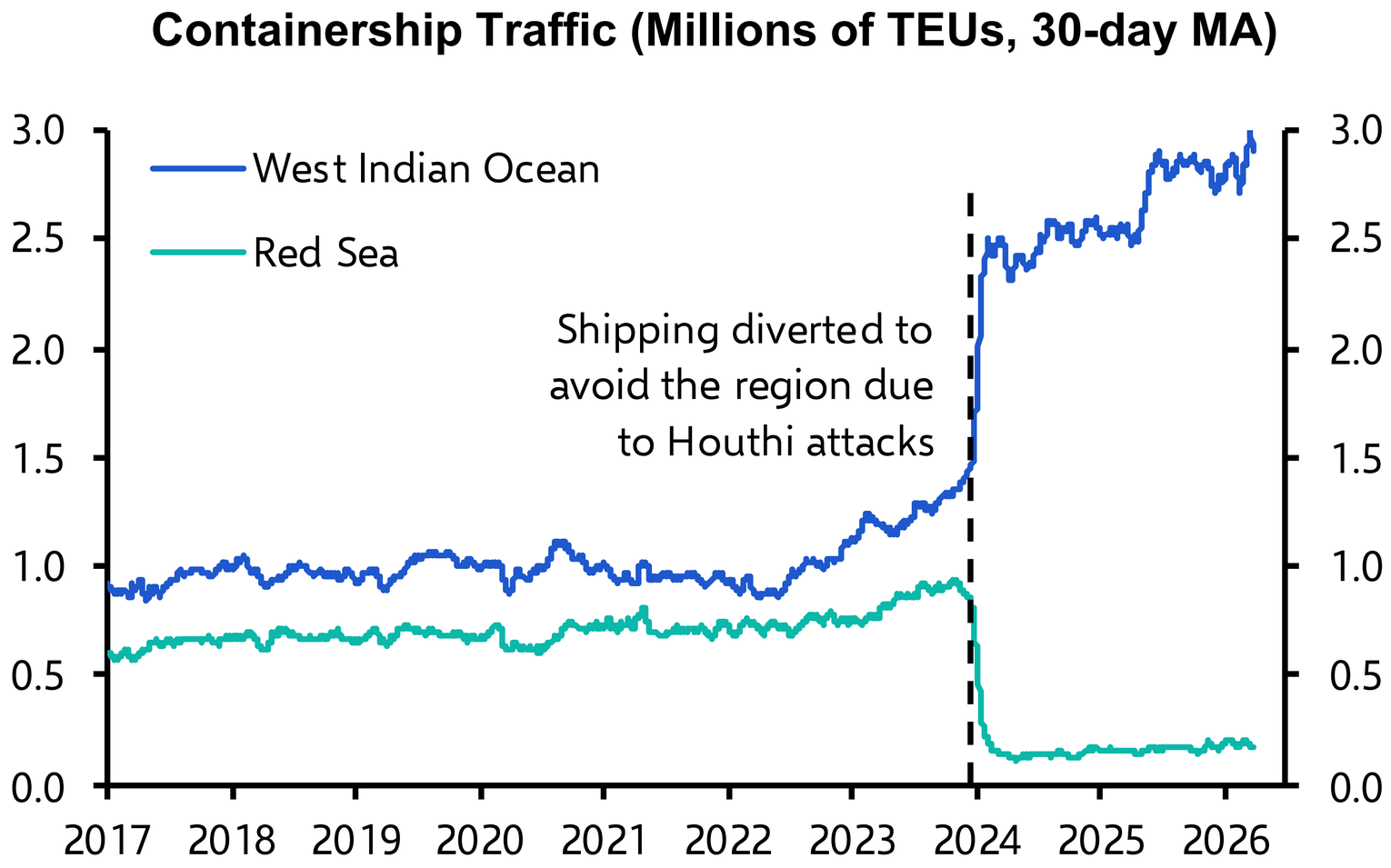
*Includes general cargo vessels and Ro-Ros. Given the conflict, reports of vessel GPS jamming and AIS spoofing suggest latest figures should be considered low estimates.

Given the importance of the Middle East for energy trade, tanker freight rates have trebled. In contrast, air freight and container freight rates have barely risen.



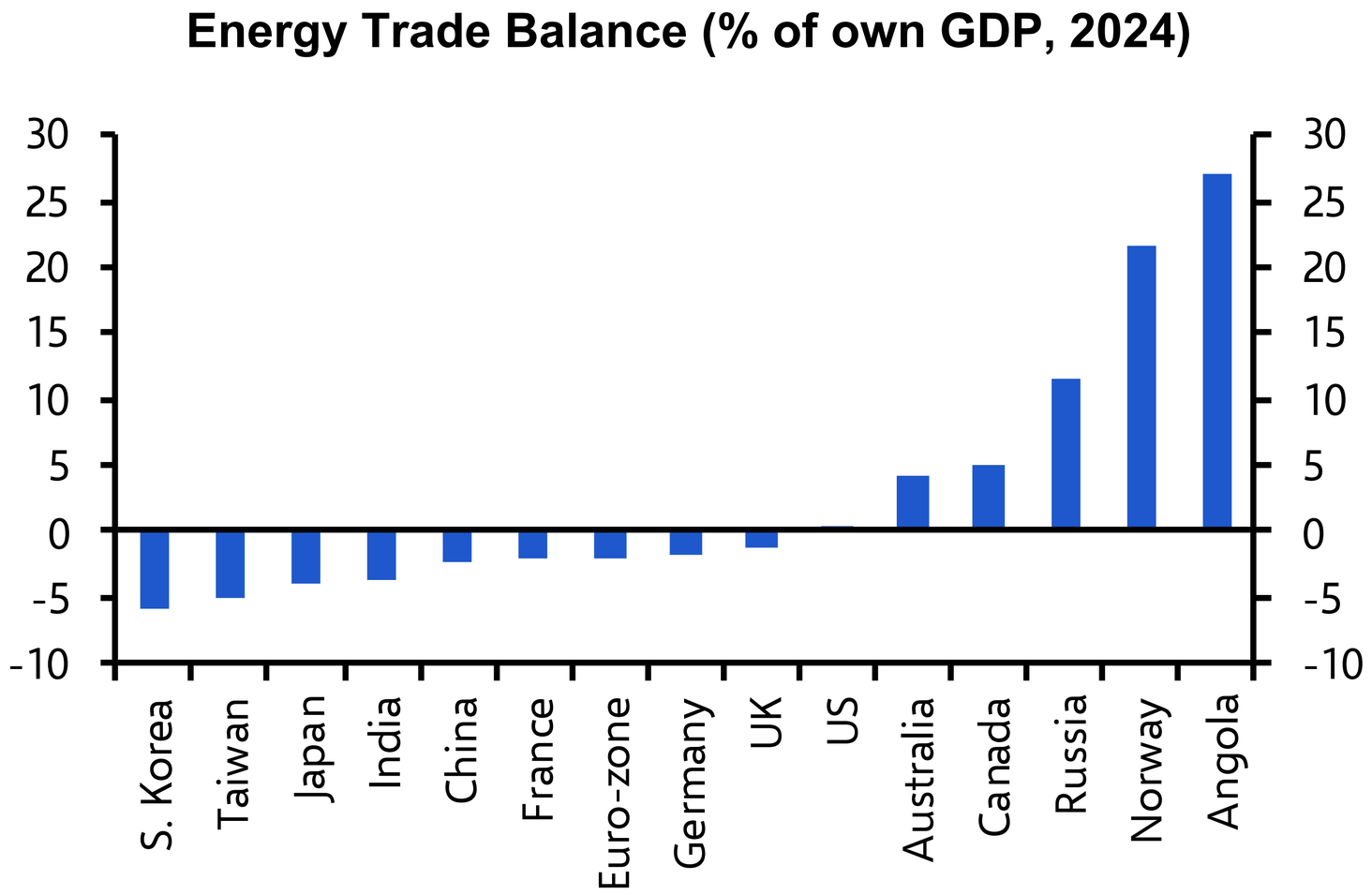
Sources: LSEG, Capital Economics

The limited movement in container rates reflects the fact that the region has been a no-go area for container ships since the Houthi attacks on Red Sea shipping in late 2023.



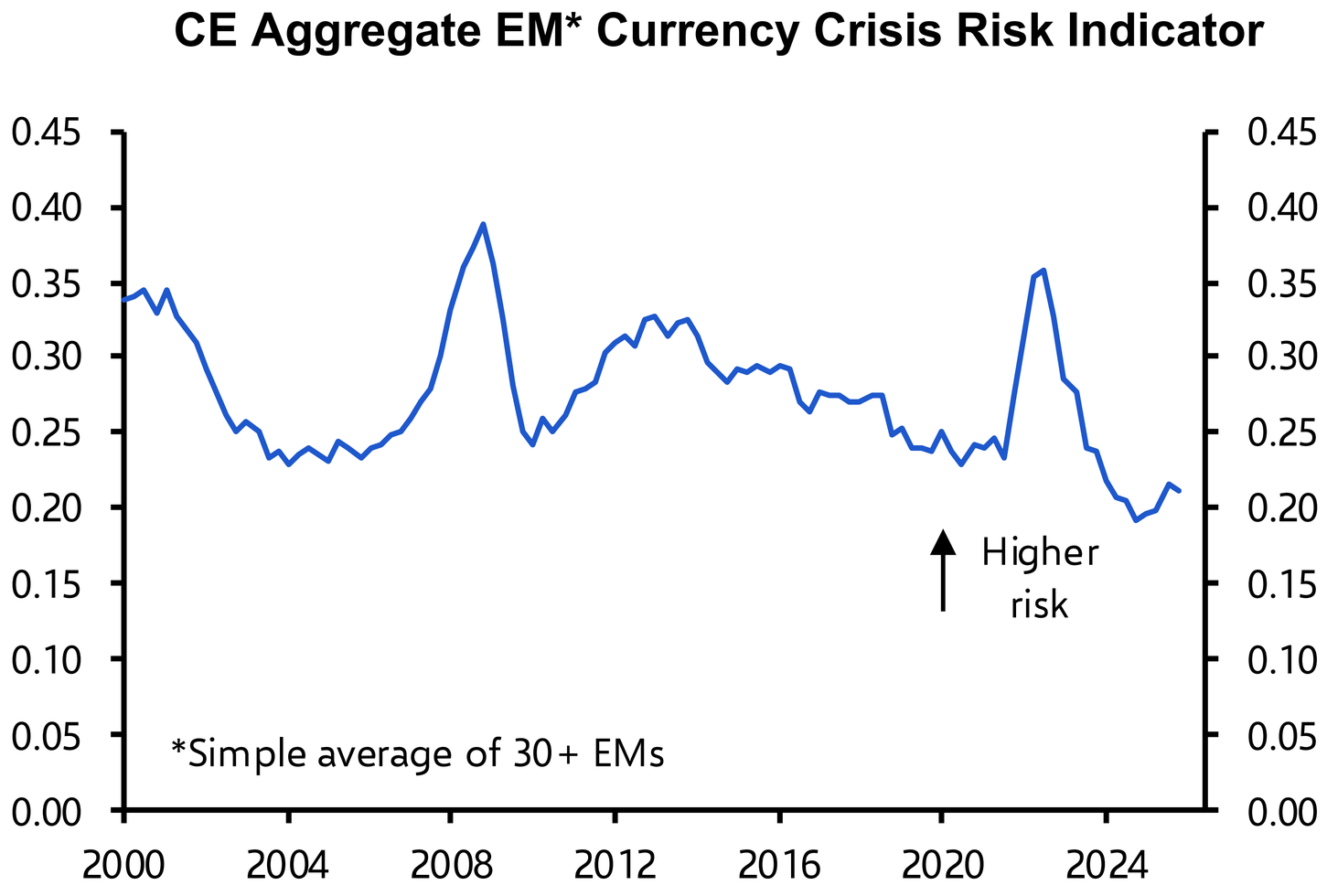
Sources: LSEG, Capital Economics

High energy prices will weigh on activity in large energy importers in Europe and Asia. The benefits to Middle East exporters would be limited by disruptions from the conflict.



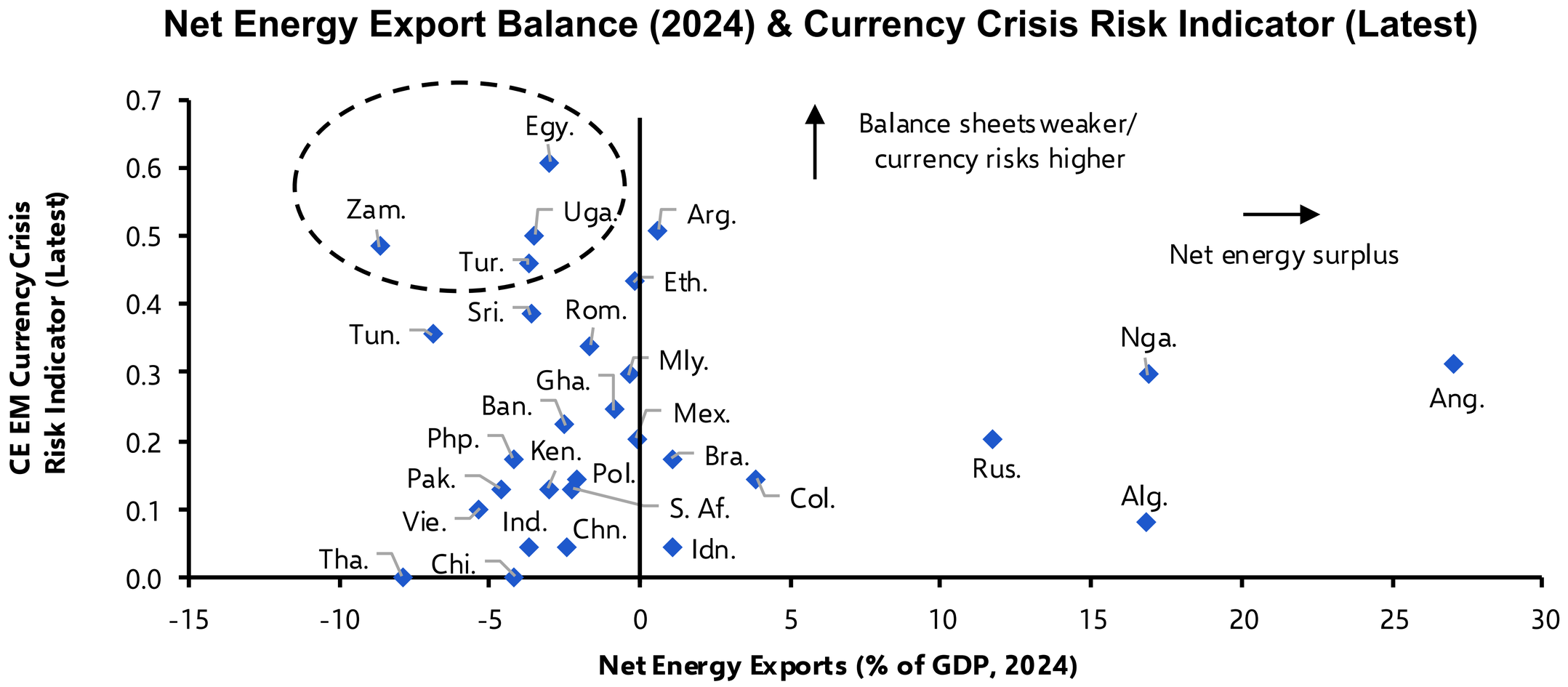
Sources: ITC, LSEG, Capital Economics

With most EM external balance sheets in a good place, there is limited risk of the energy crisis triggering an EM-wide crisis.



Sources: Capital Economics

But a few EMs remain vulnerable to currency crises, most notably Turkey, Egypt, Zambia and Uganda.



Sources: LSEG, Capital Economics

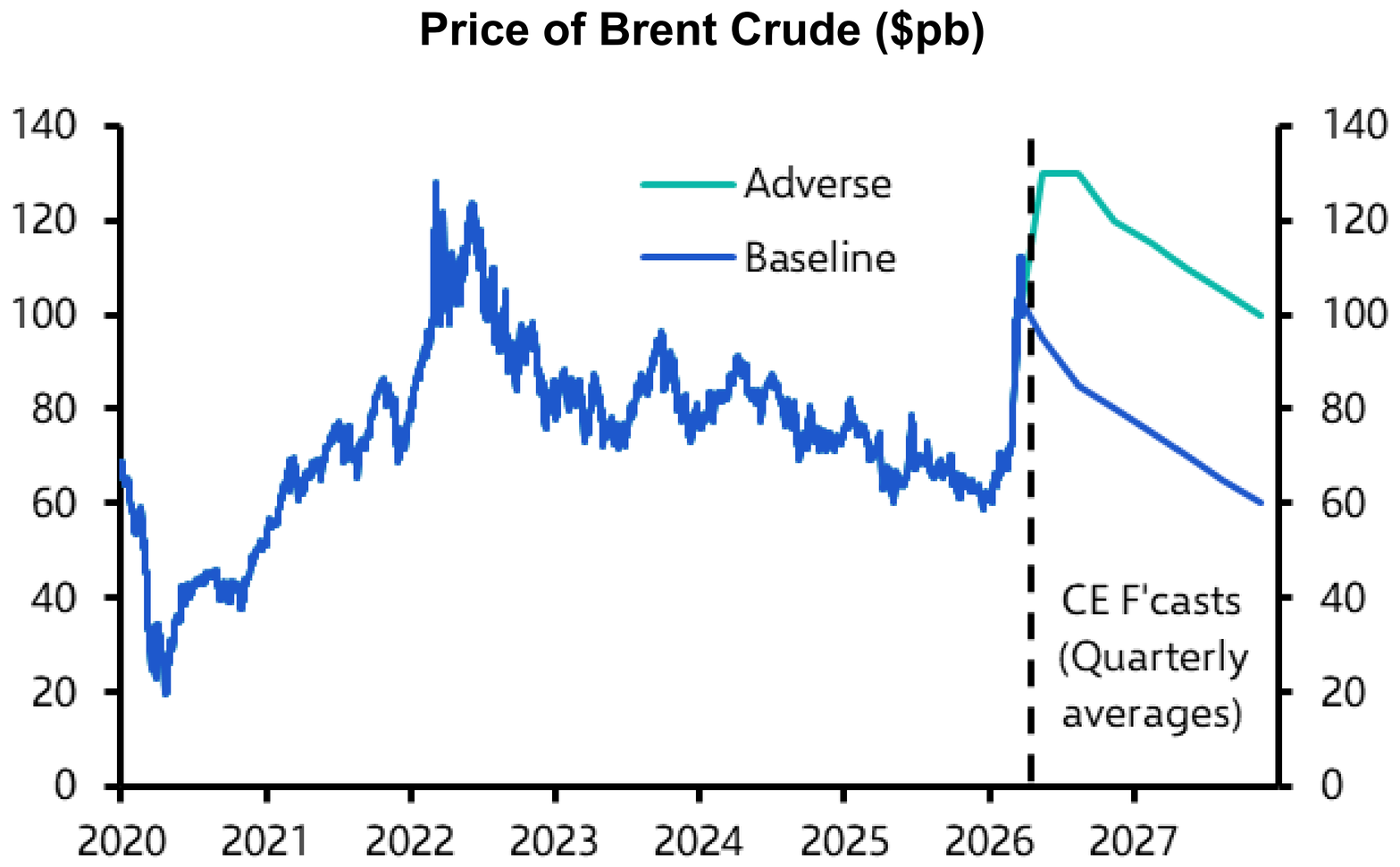
The outlook for energy prices is highly uncertain. In our baseline scenario, the conflict proves short-lived and energy prices fall back.

CE Scenarios for Energy Prices

	Baseline	Adverse
Description	War continues until end of April. Damage to energy infrastructure is limited and repaired quickly.	War lasts another 3 months until a ceasefire. Lasting and significant damage to energy infrastructure.
Energy market impact	The Strait of Hormuz gradually re-opens and the flow of energy exports begins to normalize.	The damage to oil & gas facilities means it takes a long time for output to be restored to pre-conflict levels.
End-26 Brent crude oil ($/barrel) ***Pre-war: 50***	80	120
End-26 EU TTF natural gas (€/MWh) ***Pre-war: 25***	70	105
End-26 Asian JKM LNG ($/Mbtu) ***Pre-war: 8.5***	28	38

Sources: Capital Economics

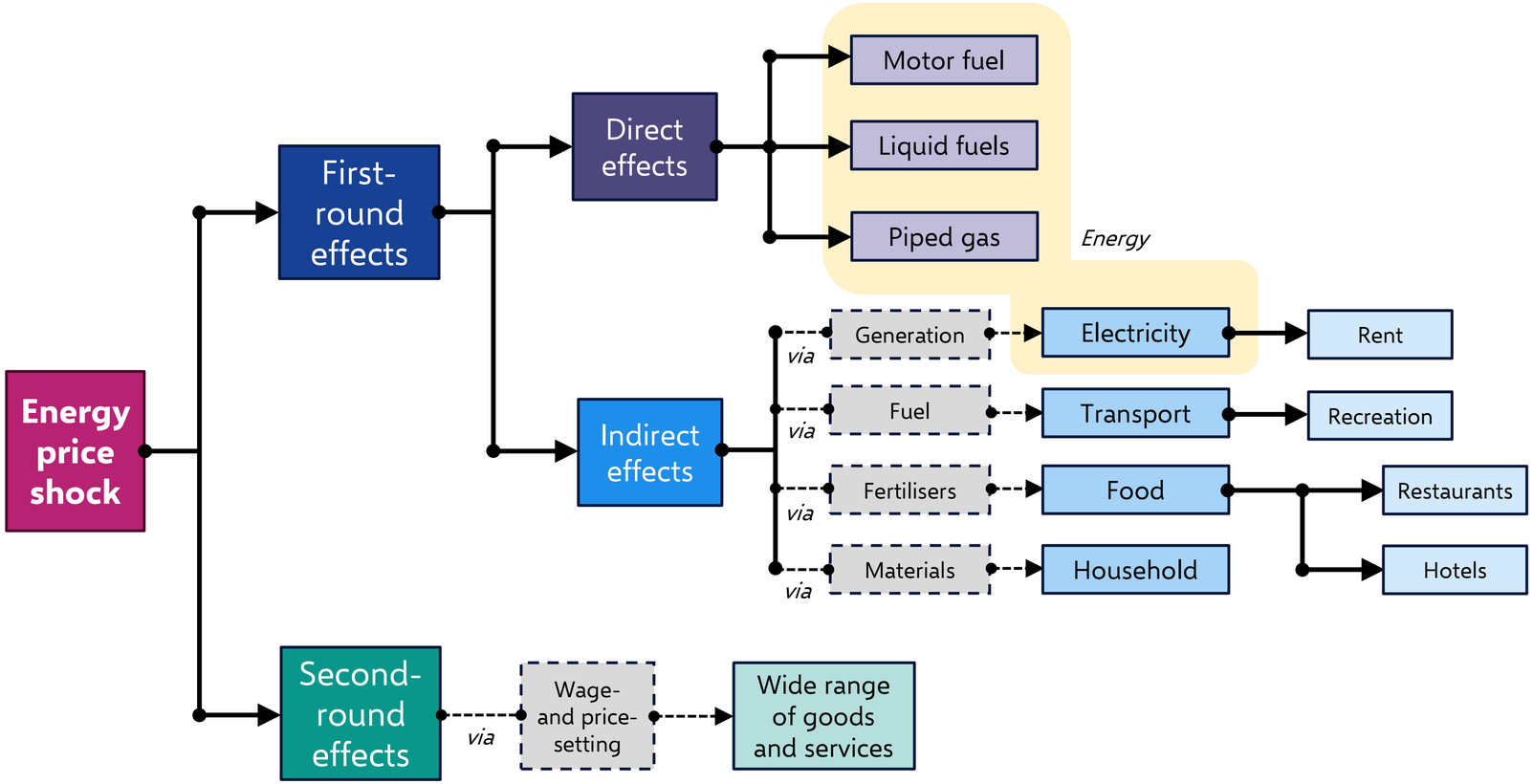
In the adverse scenario, lasting damage to infrastructure would mean that energy prices stay high for a protracted period.



Sources: LSEG, Capital Economics

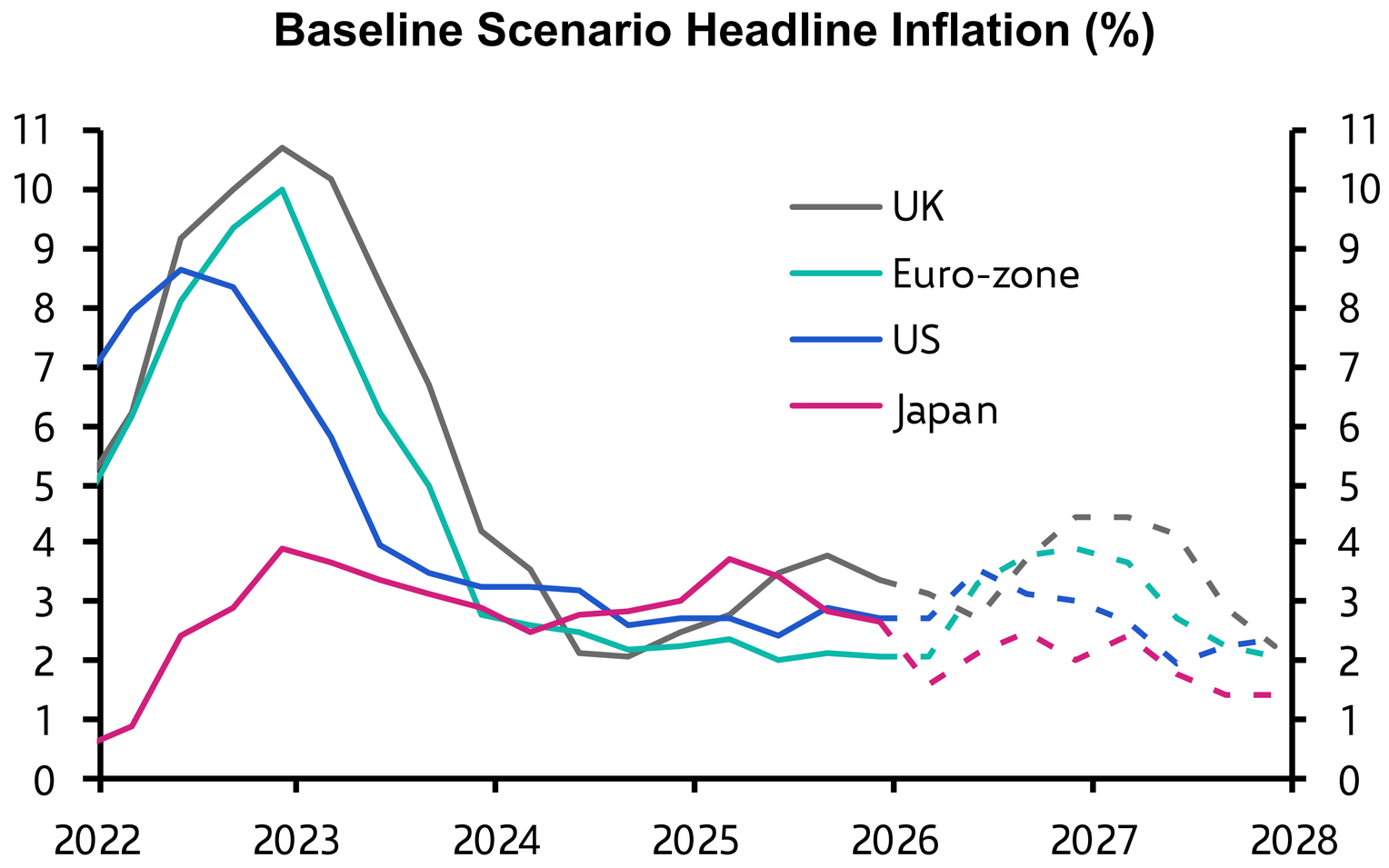
The largest impact of higher energy prices on inflation will be the *direct* effect on fuel and piped gas prices. But there will also be *indirect* effects on the prices of transport and food.

Where will higher energy prices show up in the CPI?



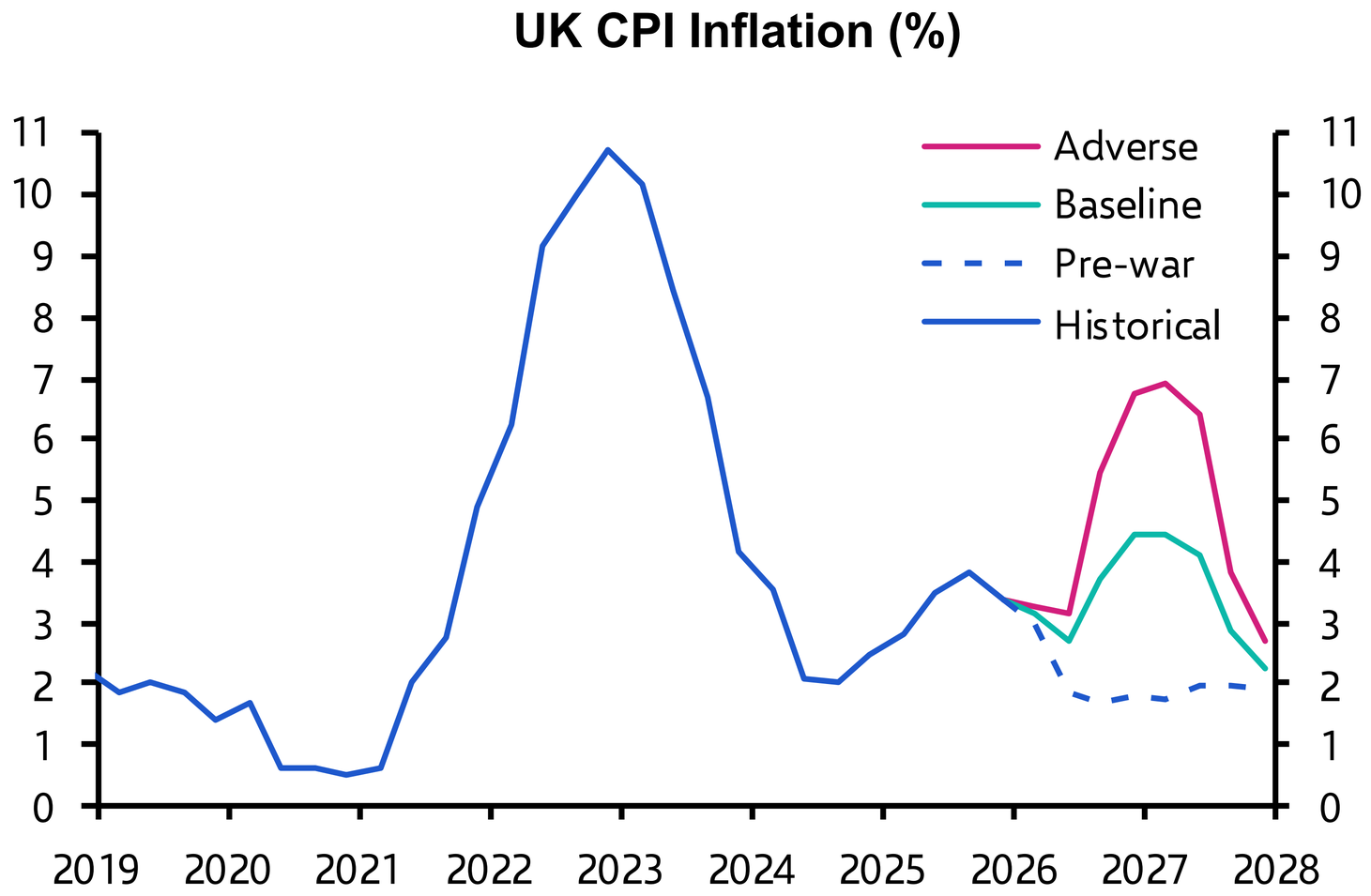
Source: Capital Economics

Higher gas prices in Europe means that inflation will rise further there than in the US. In Japan, generous fuel subsidies will limit the passthrough from wholesale prices.



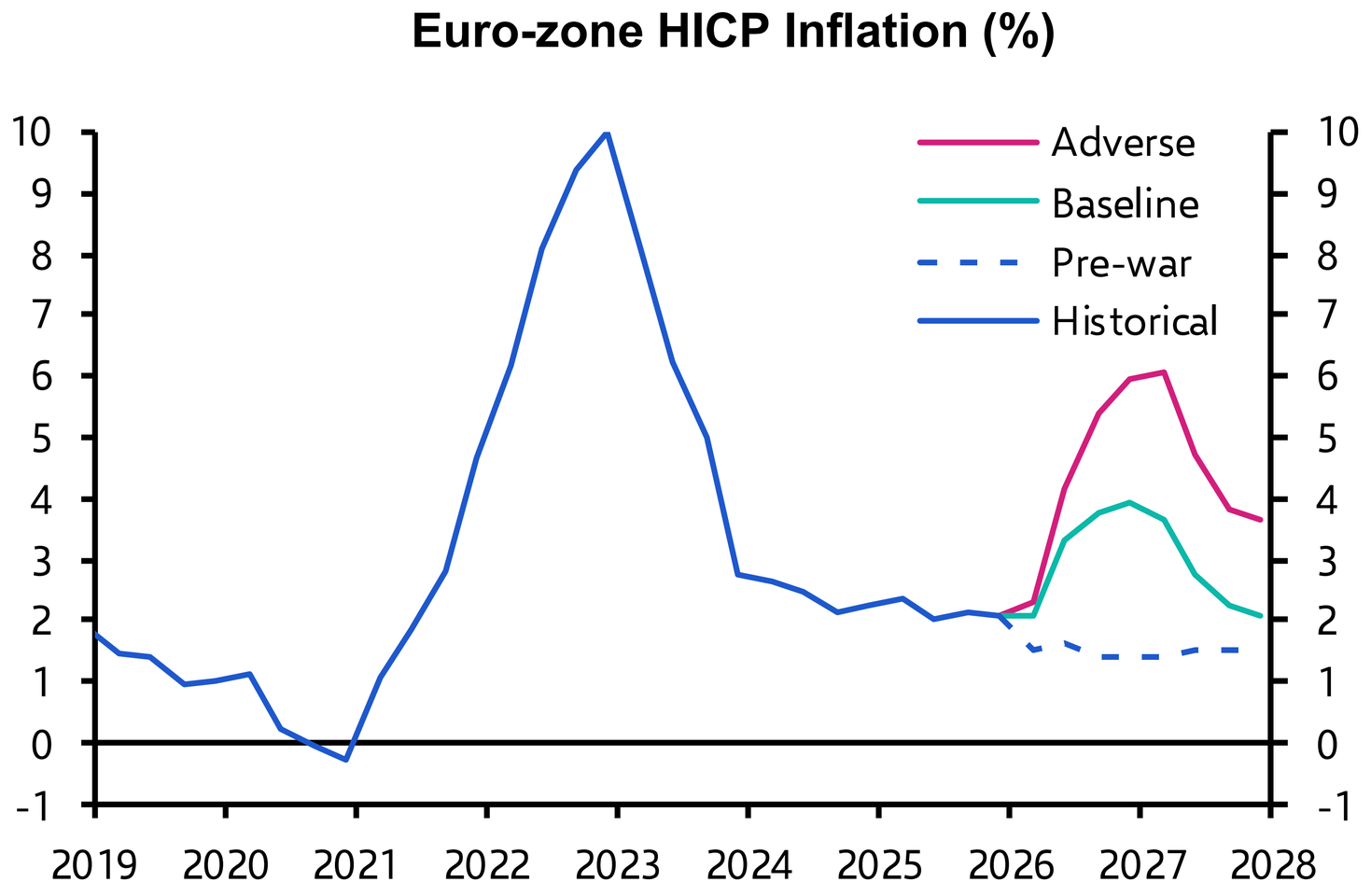
Sources: LSEG, Capital Economics

In the baseline scenario, UK inflation would peak a little over 4%, while it could rise to 7% in the adverse scenario.



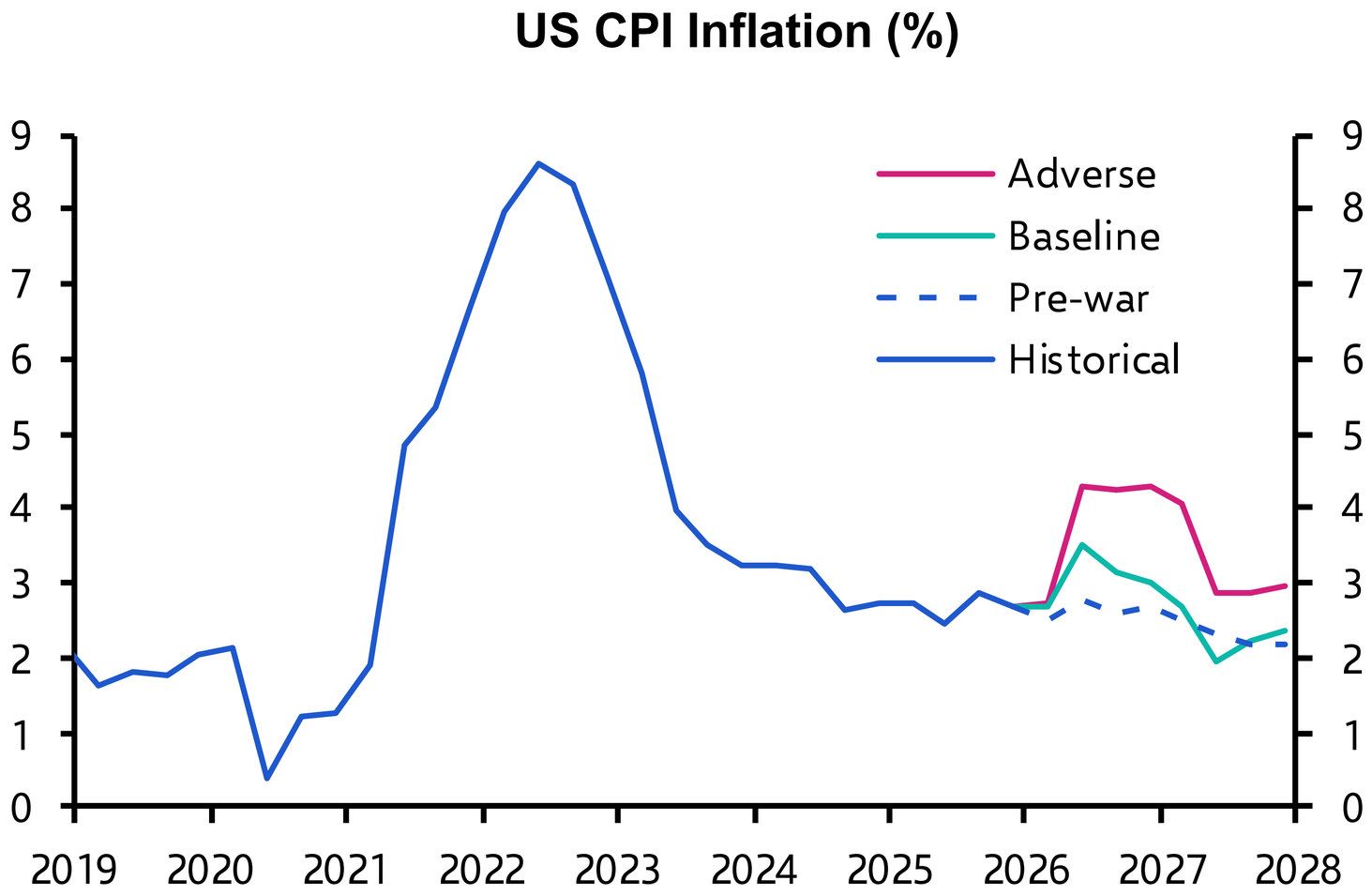
Sources: LSEG, Capital Economics

Similarly, inflation in the euro-zone should rise to around 4% in the baseline and around 6% in the adverse scenario.



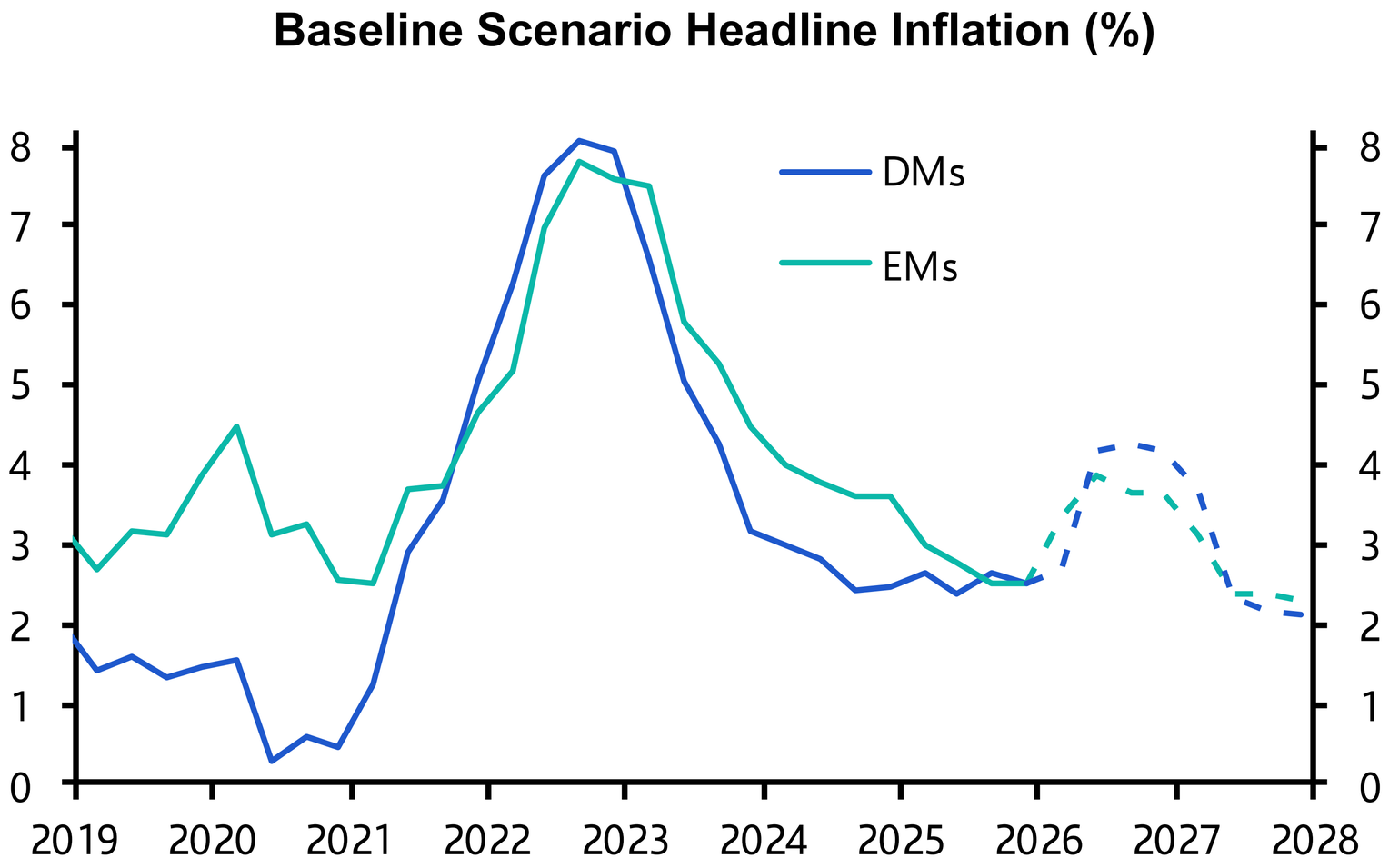
Sources: LSEG, Capital Economics

In the US, inflation will peak earlier at a little over 3% in the baseline, while it would breach 4% in the adverse scenario.



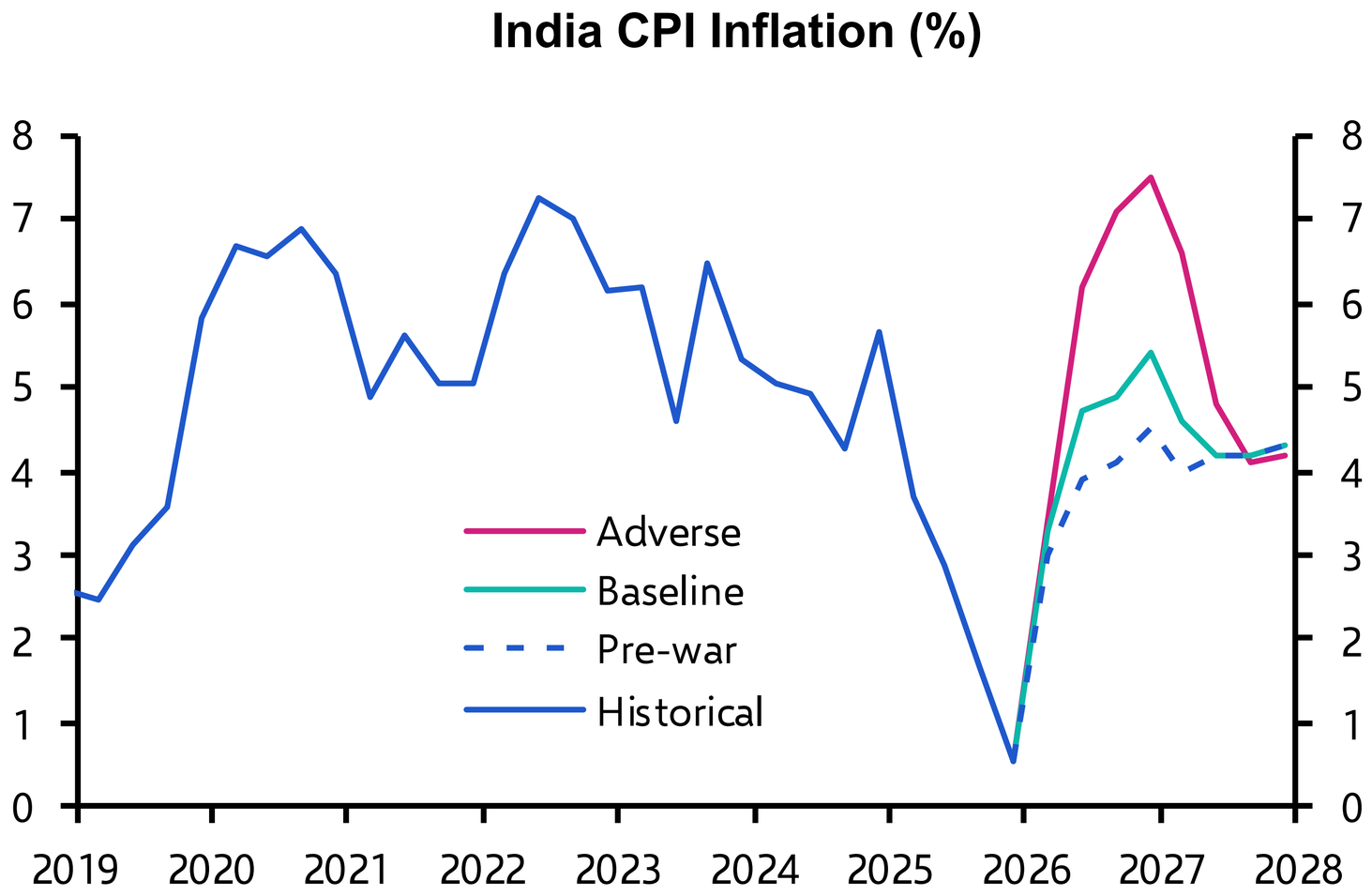
Sources: LSEG, Capital Economics

Aggregate EM inflation will rise by a similar amount to DM inflation.



Sources: LSEG, Capital Economics

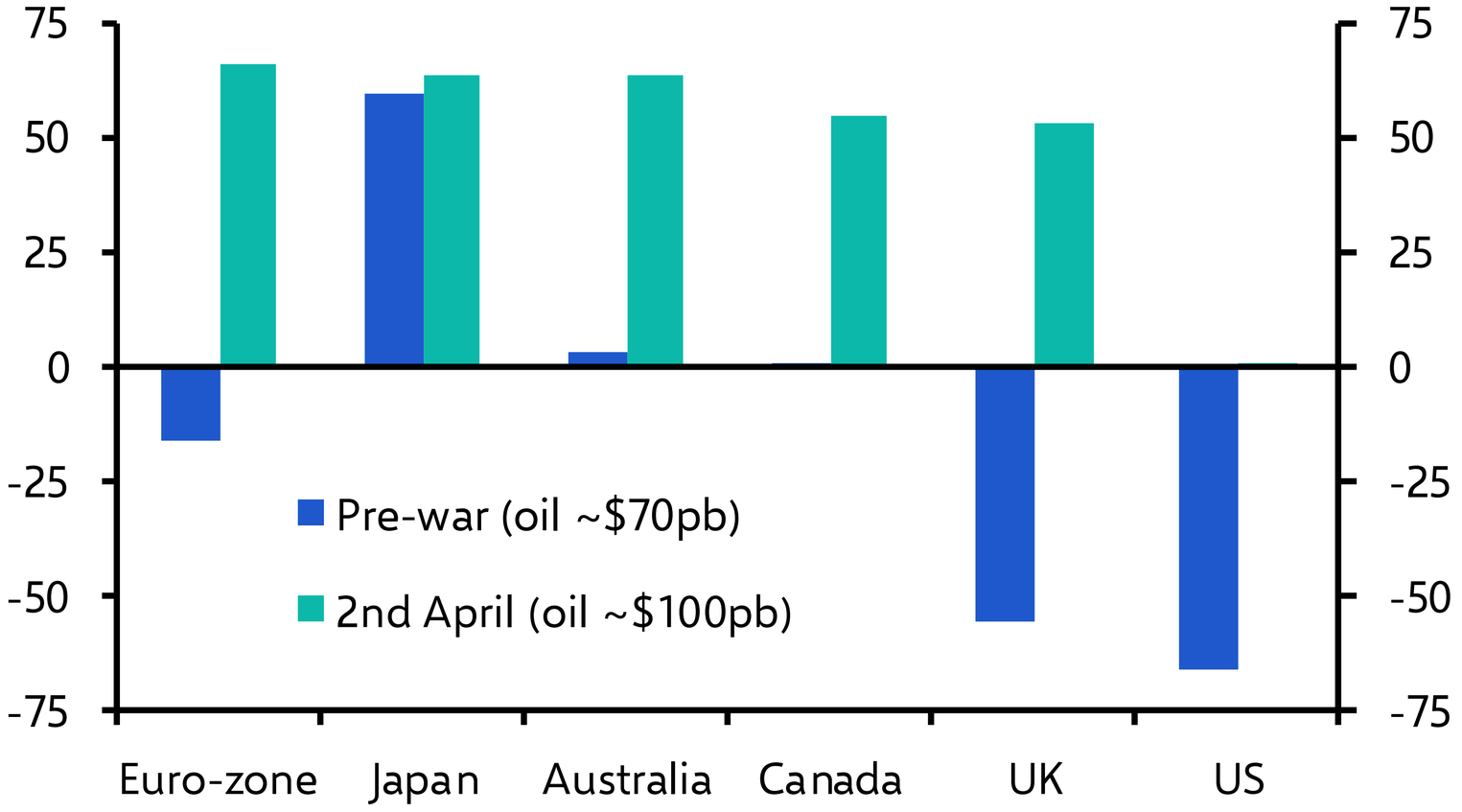
Fuel subsidies or price caps should limit the inflationary impact in several EMs. But in the adverse scenario, fiscal constraints mean inflation in some EMs like India would surge.



Sources: LSEG, Capital Economics

The volatility in energy prices has prompted large swings in investors' policy rate expectations, with markets now pricing in rate no rate cuts in DMs by the end of this year.

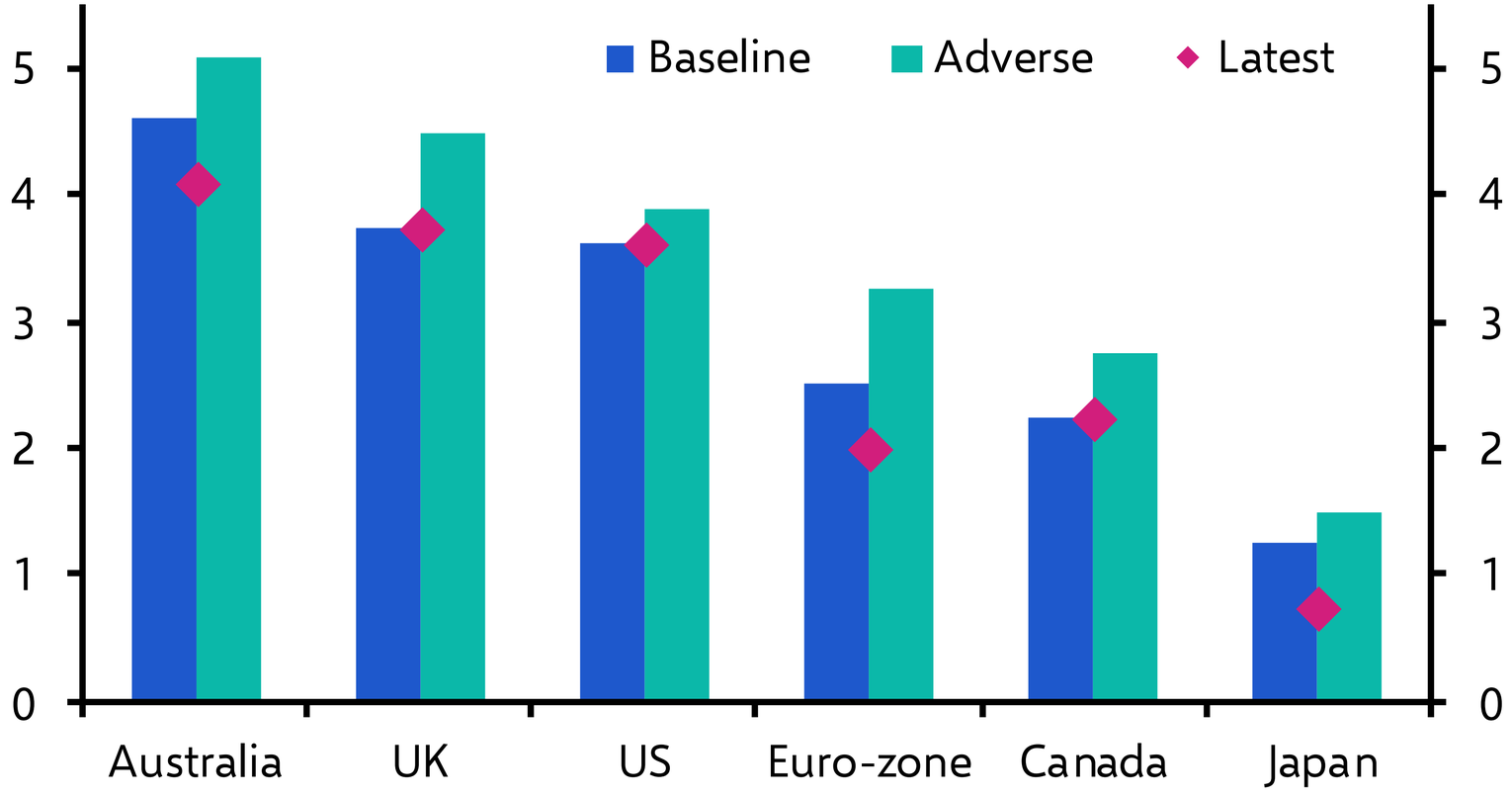
OIS-implied Change in DM Policy Rates at End-26 (bp)



Sources: LSEG, Capital Economics

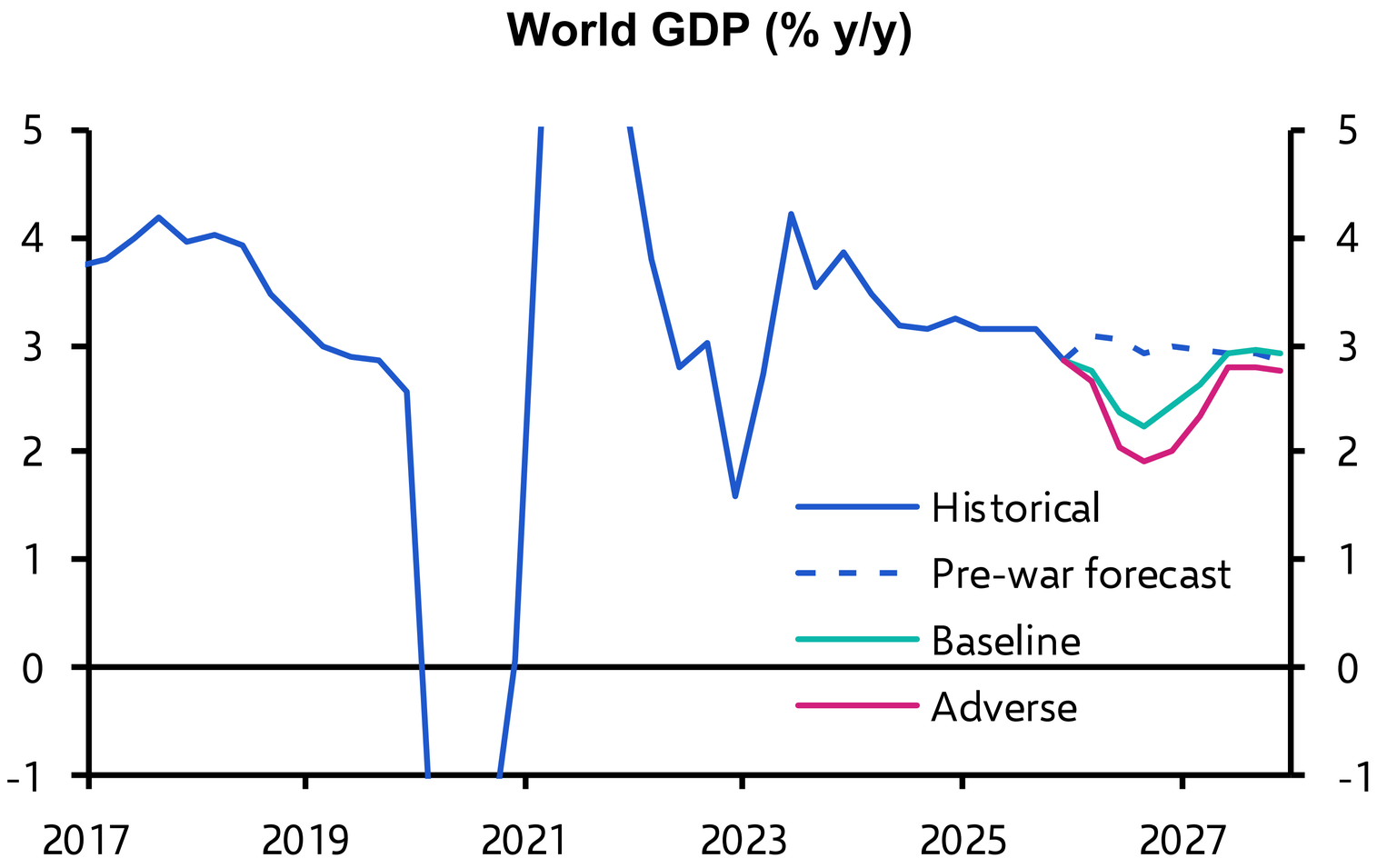
We broadly agree that rate cuts are off the table. Though we foresee fewer rate hikes and we think that only in the adverse scenario would all major central banks need to hike.

Policy Interest Rates (%, Latest & End-2026 Scenarios)



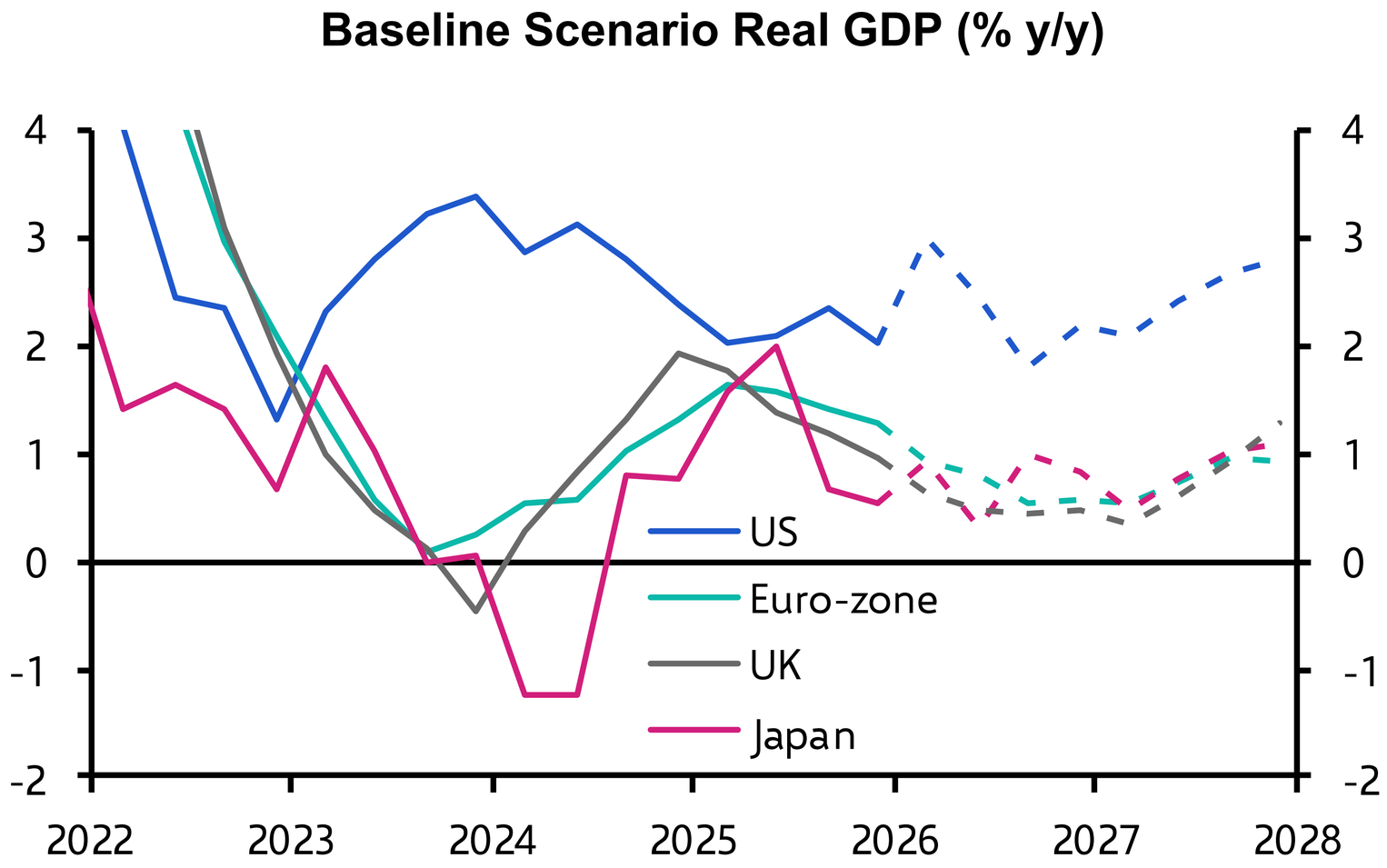
Sources: LSEG, Capital Economics

In our baseline scenario, global GDP growth would slow to below 2.5% y/y. But in the adverse scenario, it would slow sharply and meet most definitions of a “global recession”.



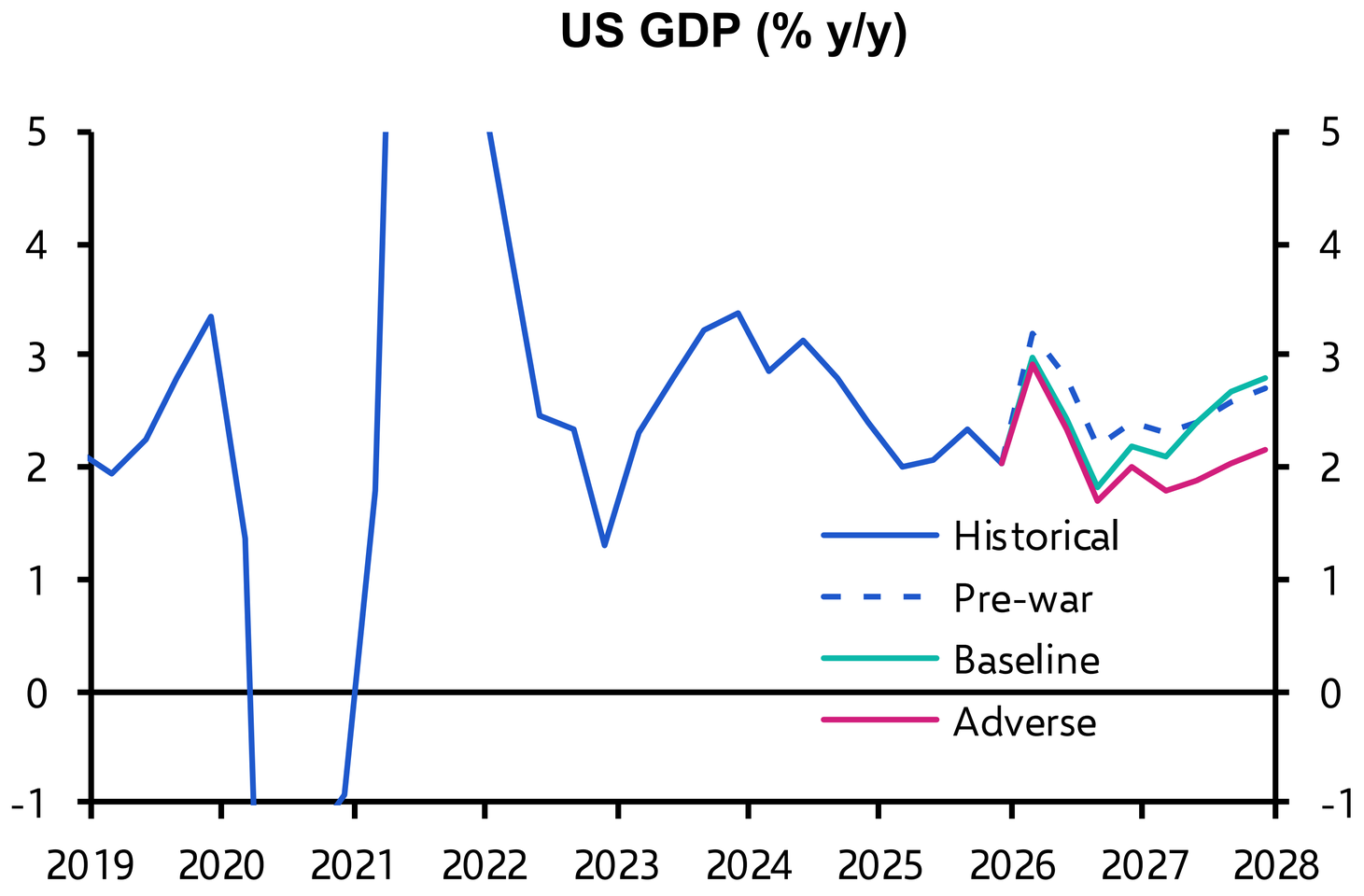
Sources: LSEG, Capital Economics

In our baseline scenario, GDP growth will slow in Europe and Japan, meaning the US will continue to outperform other DMs.



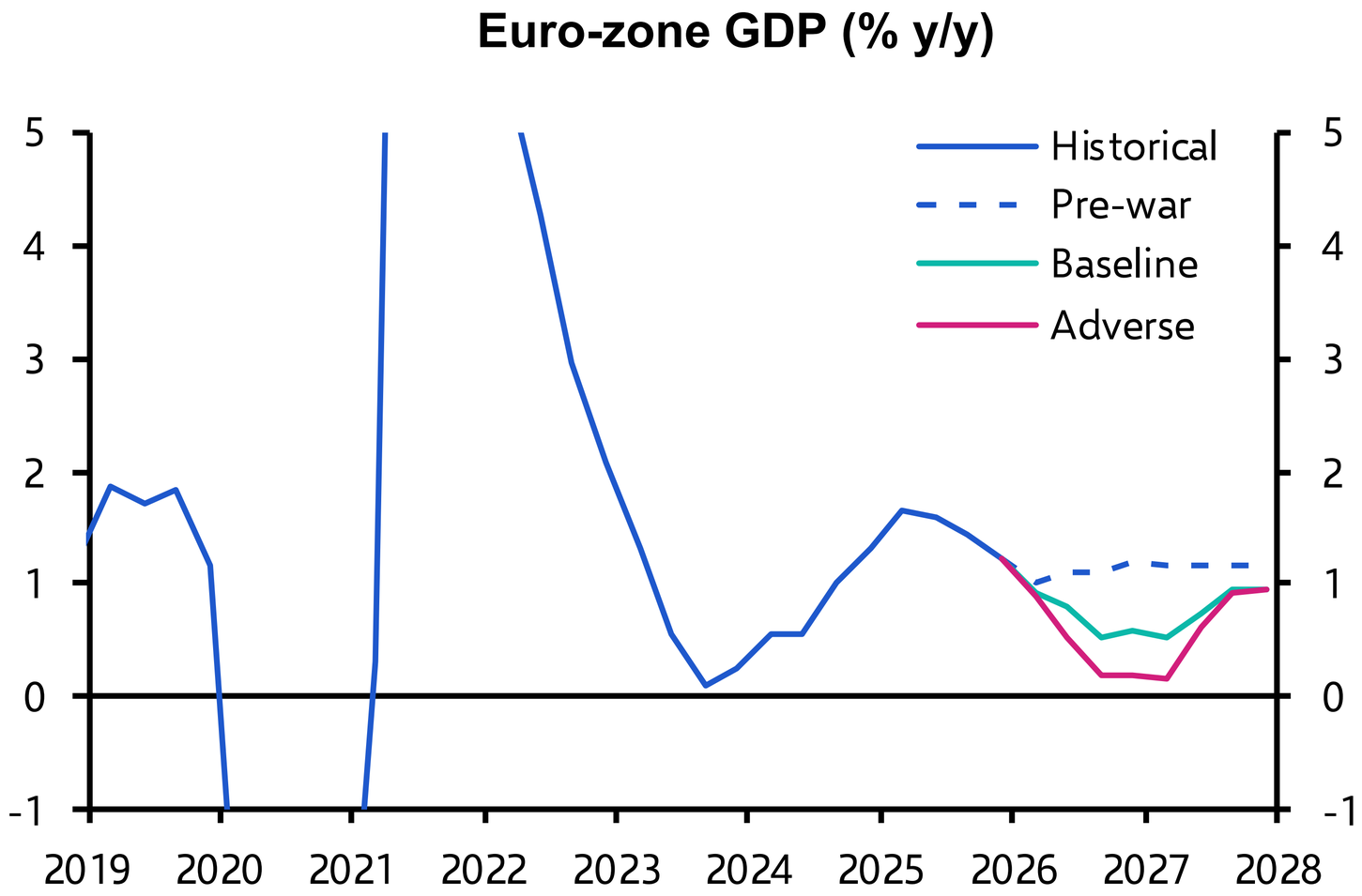
Sources: LSEG, Capital Economics

In the adverse scenario, however, we think the US economy would growth much less quickly.



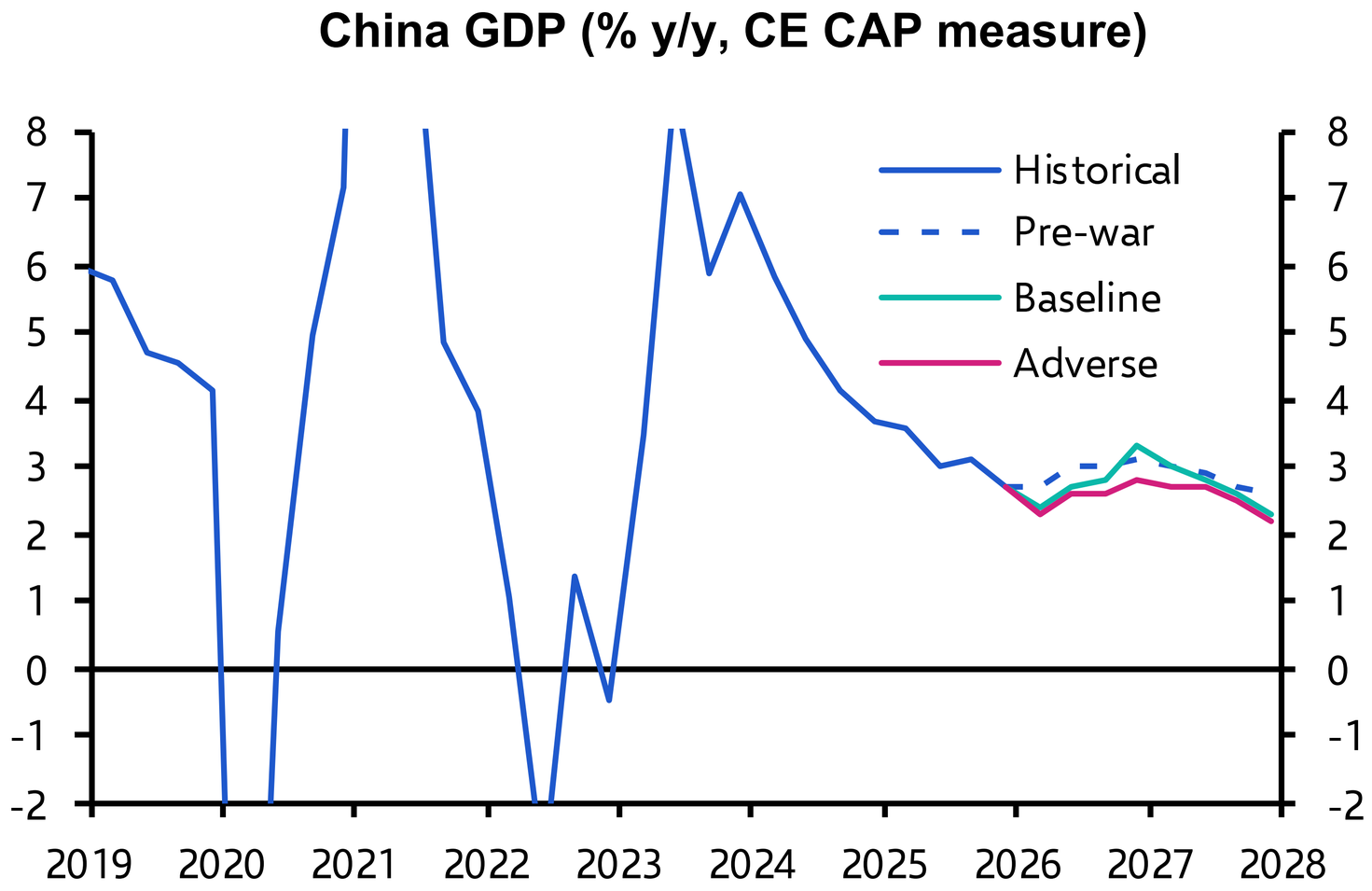
Sources: LSEG, Capital Economics

We think the euro-zone economy would stagnate in the adverse scenario.



Sources: LSEG, Capital Economics

In China, the combination of large energy reserves, access to Russian energy and government intervention means the economy should continue to growth by ~2.5% y/y.



Sources: LSEG, CEIC, Capital Economics

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